

Financial Performance & Cash-Flow Intelligence

Final Deliverable - Financial Performance & Cash-Flow Intelligence

Advanced portfolio analysis based on a constructed, internally consistent 12-month B2B financial dataset. The figures are designed to demonstrate financial reasoning, cash-flow interpretation and management decision logic without representing confidential client information.

Annual revenue	1.080.000 €
EBITDA	72.000 €
EBITDA margin	6,7%
Break-even revenue	82.000 € / month

1. Executive Summary

Annual revenue reached 1.080.000 € and generated EBITDA of 72.000 €, equivalent to a 6,7% operating margin. The company is profitable, but the cash profile shows a meaningful liquidity trough during the middle of the year.

The central management issue is therefore not only profit generation. It is the timing of cash conversion. Receivables and uneven collections reduce liquidity during months when payroll and operating commitments remain fixed.

The recommended priority is to improve cash conversion and gross-margin discipline before adding further fixed cost.

1.08M €	6.7%	82K €	42K €
Annual revenue	EBITDA margin	Monthly break-even	Lowest cash point

2. P&L; Performance

Revenue of 1,08M € produced gross profit of 432.000 €, representing a 40,0% gross margin. Operating expenses totalled 360.000 €, leaving EBITDA of 72.000 €.

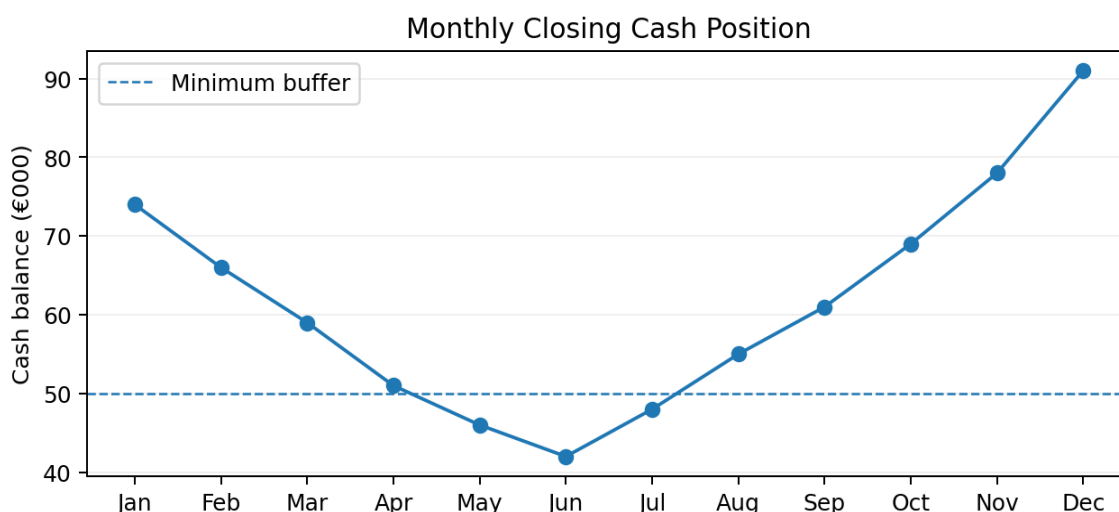
The margin is positive but leaves limited room for weak collections, unplanned expenditure or prolonged revenue underperformance.

P&L; line	Annual value	% of revenue
Revenue	1.080.000 €	100,0%
Direct costs	648.000 €	60,0%
Gross profit	432.000 €	40,0%
Operating expenses	360.000 €	33,3%
EBITDA	72.000 €	6,7%

3. Cash-Flow Intelligence

Closing cash declined from 74.000 € in January to a low point of 42.000 € in June before recovering to 91.000 € by year-end.

The decline was driven primarily by collection timing rather than a collapse in annual profitability. This distinction matters because a profitable company can still experience operating pressure if cash enters the business materially later than costs leave it.



4. Working-Capital Pressure

Average customer collection timing is modelled at 52 days, while a material share of payroll and operating expenses is paid within the same month. This creates a structural timing gap.

A reduction of average collection time from 52 to approximately 42 days would release an estimated 30.000 € of cash from working capital, subject to sales mix and invoice timing.

Working-capital KPI	Current	Management target
Average collection days	52 days	42 days or lower
Receivables >60 days	21%	< 12%
Minimum cash buffer	42.000 €	50.000 €+
Cash forecast horizon	4 weeks	13 weeks

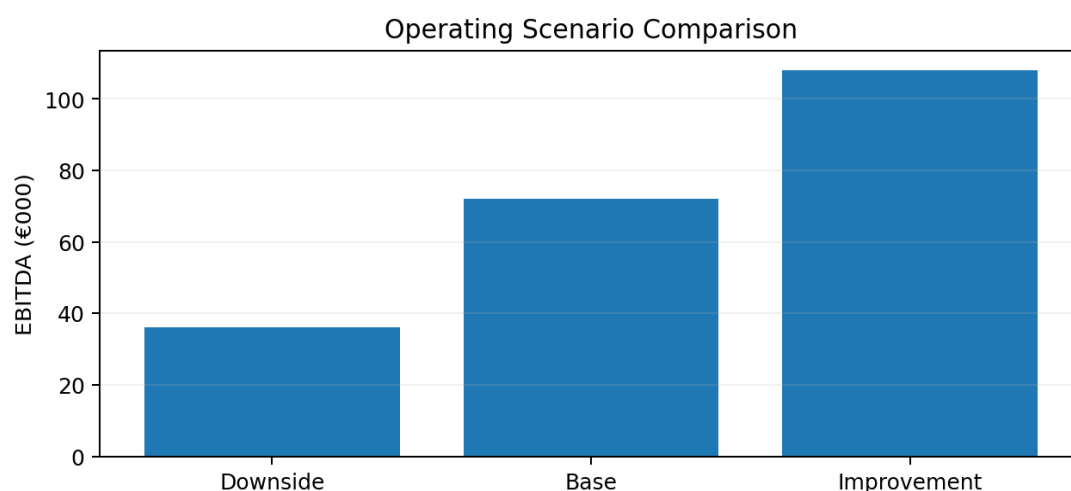
5. Break-even Analysis

At the current cost and margin structure, monthly operating break-even is approximately 82.000 € of revenue. The threshold should be treated as a management floor rather than a sales target.

A safer operating threshold is approximately 90.000 € per month, providing room for collection delays and normal cost volatility.

6. Scenario Analysis

The downside case assumes weaker revenue and limited margin improvement, producing EBITDA of approximately 36.000 €. The base case maintains current economics at 72.000 €. The improvement case combines stronger gross margin and tighter operating control, increasing EBITDA to approximately 108.000 €.



Scenario	Revenue	EBITDA	Closing cash
Downside	990.000 €	36.000 €	48.000 €
Base	1.080.000 €	72.000 €	91.000 €
Improvement	1.125.000 €	108.000 €	132.000 €

7. Management KPIs

Monthly reporting should connect profitability and liquidity. Recommended KPIs are revenue, gross margin, EBITDA margin, monthly break-even coverage, closing cash, 13-week cash forecast, collection days and receivables over 60 days.

8. 90-Day Cash Improvement Plan

Days 1-30 - Visibility: introduce a rolling 13-week cash forecast, ageing review and weekly collection priorities.

Days 31-60 - Conversion: tighten invoice follow-up, renegotiate weak payment patterns and require deposits or milestone billing where commercially appropriate.

Days 61-90 - Margin: review low-margin work, pricing exceptions and fixed-cost commitments before approving additional recurring expenditure.

9. Final Recommendation

PROTECT LIQUIDITY BEFORE EXPANDING THE FIXED COST BASE. The business is profitable, but the cash cycle creates avoidable pressure. Management should improve collection speed, maintain a minimum 50.000 € operating cash buffer and use the 82.000 € monthly break-even level as an early-warning threshold.

Additional fixed costs should be approved only when the 13-week forecast remains above the minimum cash buffer under the base and downside cases.